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Carriage of goods by sea I: sea carriage contracts

LEARNING OUTCOMES

Studying this chapter should help you to:

- ✓ Identify the different types of contracts for the carriage of goods by sea
- ✓ Explain the different types of charterparties
- ✓ Understand the functions and characteristics of bills of lading
- ✓ Distinguish between a negotiable bill of lading and a straight bill of lading

1. INTRODUCTION

Transactions and disputes regarding carriage of goods by sea are ubiquitous in commercial law. Despite other forms of transport, sea carriage remains the most practical and often the most financially viable option for traders located in different countries. In fact, around 80 per cent of global trade by volume and more than 70 per cent of global trade by value is carried by sea and is handled by ports worldwide.

The reasons for the significance of the English law on the carriage of goods by sea are highlighted in A Burrows, *Principles of English Commercial Law* (OUP 2015) 89–90. First, English commercial law generally, and the English law on the carriage of goods by sea in particular, was much relied on in international commerce in the late nineteenth and early twentieth centuries. As a result English law became particularly well developed in this area. With rapidly increasing global trade, traders and carriers encountered conflict of laws issues. English law was chosen as the applicable law for many maritime contracts which had little or no objective connection with England or the UK. The overall result is that English law is much used in international shipping and trade, and London is one of the major global centres of maritime litigation and arbitration. English law remains one of the major private law systems for sea carriage transactions.

The second reason is that much of the English common law of contract derives from reasoning developed in shipping disputes. Lord Goff observed extrajudicially that the characteristic commercial contract is that of carriage of goods by sea in 'The Future of the Common Law' (1997) 46 *International and Comparative Law Quarterly* 745, 751. In most common law countries the law of contract is uncodified and derived from legal decisions. What those legal decisions concern in common law countries depends to an extent on what subject matter happens to be litigated in their highest courts. In England, for the

reasons already given, shipping cases have been conspicuous. The result is that a very considerable part of the common law of contract, especially that concerning frustration and discharge of contract by breach, derives from shipping cases. From the perspective of common law reasoning, shipping cases have in England been a major source of basic contract law doctrine.

This chapter will focus on sea carriage documents and bills of lading in particular. The next chapter will deal with the Hague–Visby Rules and privity issues arising from contracts for the carriage of goods by sea.

✓ **You should now be able to explain the reasons for the significance of the English law on carriage of goods by sea**

2. CONTRACTS FOR THE CARRIAGE OF GOODS BY SEA

There are two types of contract available to a person who wishes to utilize a ship, a charterparty and a bill of lading. In relation to a particular ship or voyage, charterparties and bill of lading contracts may exist independently or concurrently. The shipowner and the charterer are parties to the charterparty. In general, a charterparty is a contract for the use of a ship, and it need not involve the carriage of goods. However, most charterparties are intended for the carriage of consignment(s) of goods, either under the charterparty itself or under contracts dependent upon the charterparty. Thus, a ship may be chartered for a particular voyage to someone whose cargo fills the entire carrying capacity of the ship. Alternatively, a person may charter a ship with a view to making the ship available for the carriage of separate consignments for many consignors. The arrangements for their carriage will generally utilize the bill of lading contract.

2.1 Basic Terminology

A short glossary of traditionally used terms provides clarity and is therefore provided.

- The owner of the ship may be referred to as the shipowner or owner.
- The captain of the ship is in this context more usually referred to by the older term master.
- The person (and a person includes a company) who promises by contract to carry the goods is called the carrier. As such, the carrier may not be the person who actually carries the goods but will be the person who is legally obliged to ensure that the carriage contract is performed. The carrier is usually the shipowner. But, if the ship is under a demise (or 'bareboat') charterparty, the carrier will probably be the demise (or bareboat) charterer. And sometimes the voyage charterer or time charterer of a ship is the carrier: that is, he contracts to carry the goods and performs the contract by using the services of the owner (or demise charterer) as, in effect, a subcontractor.

- The person who sends (or consigns) goods by sea is usually called the shipper (or consignor). If he has chartered the vessel, he is also the charterer. It may sometimes be necessary to distinguish between the person who contracts for the carriage and the person who actually ships the goods: the latter might merely be a seller to the person contracting for carriage and delivering the goods into the custody of the ship in performance of the contract of sale.
- While the goods are afloat their ownership and/or possession may change by reason of dealings between the parties, usually by means of dealing with the documents. The person who owns the goods at any one time is at that time the cargo owner; he will therefore normally be the bill of lading holder; and the carrier is normally entitled to treat the bill of lading holder as having the rights of the cargo owner. But the cargo owner and the bill of lading holder are not necessarily the same person: the holder of the bill may not at a relevant time own the cargo, and likewise the owner of the cargo may not hold the bill.
- The person who receives the goods at destination may do so by virtue of being the initially intended consignee of them, under a bill of lading or some other document, or he may have acquired rights, for example on transfer (usually indorsement) of the bill of lading. He may be called the consignee or indorsee (of the bill of lading), or again, merely the cargo owner. But, since there are so many possibilities concerning who he is, it is often simplest to refer to him as the receiver or, if there is a claim, claimant.
- The sum payable for the carriage of goods is known as freight. It may be paid on delivery of the goods at destination, or in advance. The sum payable for use of a vessel under a demise charterparty is usually referred to as hire and (despite early use of the expression 'time chartered freight') hire is also now used to describe the remuneration payable under a time charterparty.

✓ **You should now be able to explain the basic terminology applied in carriage of goods by sea contracts**

2.2 Charterparties

2.2.1 Types of Charterparties

A charterparty is a contract whereby the carrying capacity of a ship is by contract placed by the owner at the disposal of another person, referred to as the 'charterer'. Charterparties are of two basic types: the voyage charter and the time charter.

2.2.2 The Voyage Charterparty

The voyage charterparty is 'a contract to carry specified goods on a defined voyage or voyages, the remuneration of the shipowner being a freight calculated according to the quantity of cargo loaded or carried, or sometimes a lump sum freight'. This is the older form of charterparty and dates from times when only the shipowner could take the responsibility for estimating the risks and likely duration of the voyage and what he needed to charge for it. The destination

of the voyage is specified, though the charterer may have discretion to determine or change it within limits. Voyage charters are made on standard contract forms, but their long history means that there is considerable scope for the application of general principle.

In substance, the voyage is undertaken for a fixed price. The risk of delay affecting the profitability of the carriage contract is therefore on the shipowner, and within that price he normally allows fixed free time for loading and unloading, called 'laytime' (lying time), 'laydays' or other variants. The calculation of this – its starting point, whether it can be interrupted and for how long it runs – gives rise to disputes which, because of the great significance of delay in maritime operations, involve in their resolution technical questions of interpretation of wording and in their result large sums of money. If the charterer delays the ship beyond laytime he is in breach of contract and liable in damages, but it is normal to agree in advance the rate at (and time during) which these are payable, under the title 'demurrage'. This is by modern standards normally classified as liquidated (or agreed) damages for breach of contract by detaining the ship beyond laytime: that is to say, the charterer is not entitled to keep the ship on demurrage, but is paying damages for doing so. Demurrage disputes – as to what sorts of losses are covered by demurrage, when demurrage starts and finishes, whether on the terms of the contract it can be interrupted, and so forth – are likewise technical and involve large sums of money. Once laytime and time on demurrage have ceased, damages for continuing delay are payable on normal common law principles. Another way in which the charterer may cause the shipowner unjustifiable loss of anticipated profit is – when the freight is calculated by quantity or size of the cargo carried – by not utilizing all the cargo space or not shipping the cargo contracted for. Damages for failure to do the former are equivalent to the freight which would have been earned, and are called 'dead freight'. Here too, complex disputes can arise as to whether indications of cargo carrying capacity in the charterparty (or sometimes elsewhere) are contractual promises by the charterer to load that quantity or fill that space, or simply a general indication of the sort of capacity involved. (The same problem can arise in reverse, where the ship proves unable to carry the anticipated quantity.)

A voyage charterparty is a contract for services, to be rendered by the shipowner, his equipment and employees. It is definitely not a hire of the ship, for the ship remains under the control of the shipowner and master.

2.2.3 The Time Charterparty

Time charterparties became prevalent with the arrival of steamships. 'The shipowner agrees … to render services for a named period by his master and crew to carry goods put on board the ship by or on behalf of the time charterer' in return for payment of 'hire'. The shipowner is said to 'deliver' the ship to the charterer at the beginning of the period in which its services are to be made available and, at the end of that period, the ship should be free of commitments and 'redelivered' to the shipowner by the charterer. However, such (re)delivery is metaphorical, as the shipowner and his master (and crew) remain in control of the vessel throughout. The charterer can give commercial (but not navigational) orders to the shipowner within specified geographical limits during the charter period.

The arrangement is essentially one whereby the shipowner makes available the services of his ship on an agreed basis, within which the charterer arranges for the carriage of cargo.

The contract normally provides for circumstances in which the charterer can give the shipowner orders as to the 'employment' of the vessel (in particular, requiring him to sign bill of lading contracts), in return for which he is obliged to indemnify the shipowner for losses resulting from obedience to such orders. Whether third parties contract for the carriage of their goods with the charterer or the shipowner, the freight payable by cargo owners is ultimately the source of both the shipowner's and the charterer's income and profit, so the charterparty will need to provide for how the financial arrangements are made between its parties. Thus, to ensure that the charterer does not collect freight from cargo owners without paying the hire due under the charterparty, the charterparty may provide that the shipowner has a 'lien' on freights payable under bill of lading contracts.

A time charterparty is similar to a voyage charterparty except in the method of calculation of payment and hence the allocation of risk of delay during the carriage. The shipowner is paid by time so will usually have no objection to being delayed by the charterer's orders or failure to give them. Hence a counterpart to the laytime and demurrage regime is required.

This is normally provided by an 'off-hire clause', under which no hire is payable while the ship is (in whole or in part, depending on the wording of the clause) in effect not working for the charterer. As with laytime and demurrage, disputes can be complicated and involve large sums of money. The clause basically deals with whether or not hire is payable and does not affect liability in damages on either side, which will turn on the contractual allocation of responsibility for the event causing the delay.

The time at which the charter is due to expire often gives rise to disputes. On the one hand, the voyages that the charterer can arrange at the end of the charter period may well not fit precisely within it, and the charterer will be reluctant to pay for unused time, but the shipowner will wish to earn the maximum possible under the contract. On the other hand, if a voyage is prone to overrun, there may be dispute as to whether the shipowner must proceed on it and, if he does, whether remuneration is payable at the contract rate or (more likely) as damages for breach of contract, particularly when market rates have increased. In general, the ship must be redelivered either within a reasonable period after the end of the charter period or in accordance with contractually agreed tolerance. If the ship is redelivered early, freight would normally be payable until the end of the charter period, unless a refusal by the shipowner to take it back was totally unreasonable. Here again, complicated disputes involving large sums of money are litigated.

The true nature of a time charter is the subject of some disagreement internationally, but in English law at least it seems clear that, although the charterer can in theory give no orders and simply keep the ship waiting, or use it for storage, it is again a contract for carriage. As such it is a contract for services rather than a hire of the ship, and this is despite the use of the term 'hire' for the remuneration payable. The main difference from voyage charters lies in the method of payment and the consequent allocation of delay risks. Time charters are largely made on standard forms and disputes turn largely on the wording of the form used as there is less scope for general principle than with voyage charters.

There can also be mixed time and voyage charterparties, where the ship is contracted to go to a particular port but paid on a time basis, perhaps because the shipowner is uncertain as

to the time likely to be required at the destination port. These, often called 'trip charters', are time charters as regards payment; within the voyage route the charterer can give orders and there may be special provisions for delivery and redelivery, but the ship cannot be ordered off the normal route for the voyage.

2.2.4 Bareboat Charterparty or Charter by Demise

A bareboat charterparty is not a contract for services but rather a contract for the hire of the ship itself. The charterer has possession of the ship, employs the master and crew, enters into contracts of carriage and for most purposes is the equivalent of owner of the ship during the duration of the charterparty. Such contracts are not contracts for the carriage of goods by sea and are used for different purposes, such as operating ships without capital expenditure, loan financing and various devices connected with the changing of flags. There are nowadays standard forms of demise charter.

✓ **You should now be able to describe voyage, time and bareboat charterparties**

3. BILLS OF LADING

The bill of lading is the most commonly used contract of carriage. An understanding of bills of lading is required for a proper comprehension of international transactions involving carriage by sea. The bill of lading serves several different functions: it can act as a receipt for the goods and as evidence of the contract of carriage, as well as being a negotiable document of title. In the UK bills of lading are subject to statutory regimes, namely the Carriage of Goods by Sea Act 1971, which imposes a limitation of liability under the Hague–Visby Rules on bills of lading issued in the United Kingdom. The Carriage of Goods by Sea Act 1992 allows the lawful holder of the bill of lading and other sea carriage documents to have rights of suit.

The bill of lading is a document which states that the described goods have been shipped by a named party, in 'apparent good order and condition' unless otherwise stated, for carriage to a designated port on a named ship, and delivery there to a named consignee or in accordance with other instructions. The principal information is given in boxes on the front of the document. On the reverse appear the terms and conditions of the contract, in small print, though these are in most situations subject to the Hague–Visby Rules. As previously explained, the bill of lading is not normally issued till the goods are on board. In principle it ought to be tendered at destination by the person claiming the goods. (Principle restated in *The Sormovskiy 3068* [1994] 2 Lloyd's Rep 266; *The Houda* [1994] 2 Lloyd's Rep 541.) According to ancient custom it is normal in international carriage to have several bills of lading, each of which ranks as 'the bill of lading', originally in order that different bills might be sent to the destination by different routes, on the basis that at least one might arrive in time to enable the goods to be claimed. The carrier is entitled to deliver against one of these only. This practice obviously gives rise to possibilities of fraud (see *Glyn Mills, Currie & Co v.*

East & West India Dock Co (1882) 7 App Cas 591), and buyers, and banks financing sales on letters of credit, will normally require the full set of bills of lading.

3.1 Functions of the Bill of Lading

3.1.1 Receipt for the Goods

A bill of lading normally contains printed words such as 'Shipped in apparent good order and condition unless otherwise stated' and is signed on behalf of the carrier. The bill of lading will serve as a receipt for the quantity, condition and leading marks of goods received. Article III(3) of the Hague–Visby Rules states that the shipper can demand the carrier issue a bill of lading, which contains information as to the quantity, order and condition, and leading marks of the goods. Article III(4) provides that such statements in the bill of lading shall be *prima facie* evidence of receipt by the carrier but conclusive evidence once the bill is transferred to a third party in good faith. At common law, a ship-owner could avoid liability even towards a bona fide transferee of the bill of lading if he could prove that the goods were not in fact shipped. This is seen in *Grant v. Norway* (1851) 10 CB 665, where the master signed a bill of lading that 12 bales of silk had been shipped, when in fact they had not been loaded on board the ship. The holders of the bill of lading had no remedy as the master had no authority to sign for goods which were not loaded. This problem was somewhat resolved by Article III(4) of the Hague–Visby Rules. However, as the Rules do not apply to all types of bills, s.4 of the COGSA 1994 was enacted, which covers a wider range of bills.

Statements as to the order and the condition of the goods are *prima facie* evidence in favour of the shipper but are conclusive once the bill is in the hands of a bona fide purchaser for value. The master of the ship can issue a bill of lading either as 'clean' if the goods are in good order and condition, or 'claused' if the goods contain defects. In *Compania Naviera Vascongada v. Churchill* [1906] 1 KB 237, a cargo of timber became badly stained with petroleum while awaiting shipment. The master issued a clean bill of lading but was estopped from disclaiming the truth when a claim was brought by the third party bill of lading holders. However, the master will only be held liable for statements which he could verify by reasonable inspection of the goods (*Silver v. Ocean Steamship Co.* [1930] 1 KB 416). If the bill of lading discloses the defect in the goods then the master can issue a 'clean' bill of lading. In some cases, the shipper may promise the master an indemnity against liability from third parties if the master issues a clean bill of lading even though he knows the statements to be untrue. Such contracts, though in general quite reasonable in their objectives, are often unenforceable as contrary to public policy, for they may constitute a promise to indemnify against the consequences of a wilful or negligent false statement. The master may also be liable for breach of warranty of authority, for agents warrant (in the absence of other indications) that they have authority to sign, and if the goods are not as described the master has no such authority. If the signature is that of a ship's agent or the like on behalf of the master, any of these remedies may be worth pursuing (as in *V/O Rasnoimport v. Guthrie & Co Ltd* [1966] 1 Lloyd's Rep 1). In *Brown, Jenkinson & Co. Ltd v. Percy Dalton* [1957] 2 QB 621, the master issued a clean bill of lading against an indemnity for a cargo of orange juice even though it was apparent the barrels were leaking. It was held that as the statements were

known to be false, the plaintiffs could not enforce the indemnity and were liable in the tort of deceit. However, in the absence of fraud an indemnity is permitted under Article III(5) in relation to statements as to quantity or leading marks but not as to the condition of goods.

3.1.2 Evidence of the Contract of Carriage

In practice, the shipper will have concluded the terms of carriage before the bill of lading is issued. While the bill remains in the hands of the shipper, this is evidence of the contract of carriage.

However, for most practical purposes the terms on the bill of lading constitute the contract terms, whether by course of dealing, because the shipper is regarded as having accepted the carrier's terms whatever they are, or because the oral contract can be said to be reduced to writing by the bill. And, bills of lading being transferable, there is no doubt that in the hands of the third party the bill of lading constitutes the contract, for the third party usually has no knowledge of the original dealings and has a contract based only on what appears on the document. Therefore, any oral agreements between the shipper and carrier will not bind the third party: see *Leduc & Co v. Ward* (1888) 20 QBD 475.

3.1.3 Document of Title

Bills of lading are transferred from one person to another while the goods are in transit for the purpose of transferring (or pledging) the goods to which they relate (*Lickbarrow v. Mason* (1787) 2 TR 63, 100 ER 35). The true significance of the phrase for English law appears to be that by its transfer the constructive possession of the goods can be transferred (see *Benjamin's Sale of Goods* (8th edn, 2010) paras 18-006ff) and the principal consequence of this is that the cargo can be pledged to a bank while it is afloat. The transferee of the bill of lading is also entitled to possessory remedies. The transferee of the bill of lading will not acquire a better title to the goods than was held by the previous owner.

To be a document of title, a bill of lading must be drafted 'to order' and must name a consignee. A bill of lading naming a consignee but not containing a reference to 'order' is called a 'straight' bill of lading. Such a document is not transferable and doubts have been cast as to its status. It has been held that it is a 'bill of lading or any similar document of title' for the purpose of making the Hague–Visby (or Hague) Rules applicable (*The Rafaela S* [2005] UKHL 11, [2005] 1 Lloyd's Rep. 347) and the House of Lords, in deciding this, approved a decision of the Singapore Court of Appeal (see *APL Co Pte Ltd v. Voss Pte Ltd* [2002] 2 Lloyd's Rep 707, [2002] 4 SLR 481, CA Sin) to the effect that a carrier must only deliver the goods against surrender of such a document (which would not be true of a non-negotiable sea waybill). It can be transferred once, by physical handing over to the named consignee, who can then sue on it, though the reason in English law for the right to sue is that the document, whatever it is called, must rank as a non-negotiable sea waybill for the purposes of the Carriage of Goods by Sea Act 1992. It is not clear whether such a document should really be called a document of title in the general common law sense. Only if it is would the consignee with possession of the document rank as having constructive possession of the goods, wherever they are, through the document alone.

A straight bill of lading is a 'bill of lading or any similar document of title' for the purposes of the Hague–Visby (or Hague) Rules. However, a straight bill of lading is a non-negotiable sea waybill for the purposes of the Carriage of Goods by Sea Act 1992.

You should now be able to understand the three functions of a bill of lading

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Carriage of goods by sea II: the Hague–Visby Rules

LEARNING OUTCOMES

Studying this chapter should help you to:

- ✓ understand the rights and obligations of the carrier and shipper under the Hague–Visby Rules
- ✓ explain the statutory assignment of the rights of the shipper under the Carriage of Goods by Sea Act 1992 and the *Brandt v. Liverpool* contract
- ✓ discuss the common law requirements for the application of the Himalaya clause and its statutory alternatives

1. INTRODUCTION

There are several legal regimes that may govern a carriage of goods by sea transaction. Before the enactment of harmonized laws to govern carriage of goods by sea, under the common law carriers were allowed extensive freedom to draft wide-ranging exclusion of liability clauses in their contracts. This asymmetrical relationship between the carrier and the shipper/consignee meant that the standard terms and conditions of the carrier prevailed. In order to ameliorate the situation, the Hague Rules (the International Convention for the Unification of Certain Rules of Law relating to Bills of Lading) were initially adopted by the UK and given effect in the Carriage of Goods by Sea Act 1924.

The Hague–Visby Rules (the Hague Rules, as amended by a Protocol agreed in Visby) were formally signed in Brussels in February 1968. The Visby amendments were enacted by the UK in the Carriage of Goods by Sea Act 1971. The 1971 Act came into force on 23 June 1977 once the Protocol was ratified by ten states with sufficient flagged tonnage. Although the Hague Rules, and their successor the Hague–Visby Rules, have enjoyed a wide measure of success, it has been argued that a more comprehensive instrument was needed to balance the interests of the carrier and shipper of the goods.

2. SCOPE OF APPLICATION OF THE HAGUE–VISBY RULES

The application of the Hague–Visby Rules to the contract of carriage can either be mandatory (s.1(2) of the Carriage of Goods by Sea Act 1971) or by agreement, in which case parties

will include a 'clause paramount' into the contract stipulating that the Rules are applicable. Article III(8) will, however, only take effect where the Rules are applied mandatorily. Section 1(6) of the Carriage of Goods by Sea Act 1971 provides that if the Rules are incorporated into a bill of lading it shall have the 'force of law'. This therefore extends the scope of the Rules, making them applicable to those bills which are outside the ambit of the Carriage of Goods by Sea Act 1971. However, the position in relation to Article III(8) may remain the same in the case of charterparties which incorporate the Rules (*The Strathnewton* [1983] 1 Lloyd's Rep. 219).

Article I(b) of the Rules states that they apply to contracts of carriage covered by a bill of lading or any similar document of title, insofar as such document relates to the carriage of goods by sea (cf s.1(4) of the Carriage of Goods by Sea Act 1971). The Rules do not apply to waybills or any other non-negotiable documents of title with the exception of straight bills of lading: *The Rafaela S* [2005] 1 Lloyd's Rep. 347. The Rules also do not apply to bills of lading issued under a charterparty if the bill remains in the hands of the charterer; however, the Rules will apply when the bill is indorsed to a third party (Article I(b) of the Hague–Visby Rules). The Rules may also apply where it was the parties' intention that the contract of carriage be covered by a bill of lading even if one had not been issued. In *Pyrene v. Scindia* [1954] 2 QB 402, a cargo of fire tenders was awaiting loading onboard the ship when one of the tenders fell as it was being loaded and as a result was damaged. The bill of lading made no mention of the damaged tender. When the carrier invoked Article IV(5) to limit his liability, the shipper tried to argue that the Hague Rules should not apply because the damaged tender was not mentioned in the bill of lading. It was held that the Rules did apply. Devlin J stated ([1954] 2 QB 402, 419):

> In my judgment whenever a contract of carriage is concluded, and it is contemplated that a bill of lading will, in due course, be issued in respect of it, that contract is from its creation 'covered' by a bill of lading, and is therefore in its inception a contract of carriage within the meaning of the Rules and to which the Rules apply.
>
> Article X of the Hague–Visby Rules provides that they apply to:
>
> every bill of lading relating to the carriage of goods between ports in two different States if:
>
> (a) the bill of lading is issued in a contracting State, or
> (b) the carriage is from a port in a contracting State, or
> (c) the contract contained in or evidenced by the bill of lading provides that these Rules or legislation of any State giving effect to them are to govern the contract, whatever may be the nationality of the ship, the carrier, the shipper, the consignee, or any other interested person.

Section 1(3) of the Carriage of Goods by Sea Act 1971 extends the Rules to also cover coastal trade within the UK. The wording of Article X states that the Rules will apply when the carriage of goods takes place between two different states if the bill is issued in a Contracting State, or where the carriage is from a port in a Contracting State, or alternatively where the bill expressly stipulates that the Rules will apply. In relation to Article X(b) there may be some ambiguity as to the automatic application of the Rules. For example, parties may

avoid the rules by using a non-negotiable document of title, which would detract from the intention of the drafters that the Rules should not be excluded. The courts in these cases tend to look at whether the parties intended to issue a bill of lading at some stage in the voyage (*Mayhew Foods Ltd v. Overseas Containers Ltd* [1984] 1 Lloyd's Rep. 317).

Section 1(6) of the Carriage of Goods by Sea Act 1971 further extends the Rules to any receipt which is a non-negotiable document (for instance, a sea waybill) marked as such if the contract provides that the Rules are to govern the contract.

3. DECK CARGO

The Hague–Visby Rules under Article I(1)(c) specifically exclude the carriage of live animals and deck cargo. The reason for such exclusions is evident given the risk involved in transporting cargo of this kind. According to s.1(7) of the Carriage of Goods by Sea Act 1971, the Hague–Visby Rules are extended to cover deck cargo if the contract evidenced by the bill of lading or receipt applies to deck cargo.

In relation to the carriage of goods on deck, the Rules provide that the bill of lading must disclose that the goods will be carried on deck and that they are in fact carried on deck. The courts tend to apply the exclusion very narrowly. In *Svenska Traktor AB v. Maritime Agencies* [1953] 2 QB 295, a cargo of tractors had been shipped under a bill of lading which gave the carrier the option to transport the tractors on deck. One of the tractors was subsequently lost when it went overboard and the ship-owner relied on the bill of lading to exclude his liability for loss. The ship-owner's claim failed as the courts held that an option to carry deck cargo does not mean it is in fact being carried on deck.

☞ **The scope of application of Article X of the Hague–Visby Rules has been extended by the Carriage of Goods by Sea Act 1971.**

4. PERIOD OF COVERAGE

Article I(e) defines carriage of goods as covering the period from the time when the goods are loaded onboard to the time they are discharged from the ship. This means that the Rules will apply on a 'tackle to tackle' basis from the start of the loading operation to conclusion of discharge. The parties may choose to extend the operation of the Hague–Visby Rules to other contractual operations by express contractual provision (Article VII of the Hague–Visby Rules).

5. CONTRACTING OUT

Article V allows the carrier to give up any of his rights or immunities or to increase his obligations and responsibilities as long as these are included in the bill of lading. However,

the carrier cannot improve his position under the Hague–Visby Rules as this would be contrary to Article III(8).

6. DUTIES AND LIABILITIES OF THE CARRIER

6.1 Bills of Lading

Article III(3) of the Hague–Visby Rules states:

> After receiving the goods into his charge the carrier or the master or agent of the carrier shall, on demand of the shipper, issue to the shipper a bill of lading showing among other things:
> (a) the leading marks necessary for identification of the goods as the same are furnished in writing by the shipper before the loading of such goods starts, provided such marks are stamped or otherwise shown clearly upon the goods if uncovered, or on the cases or coverings in which such goods are contained, in such a manner as should ordinarily remain legible until the end of the voyage;
> (b) either the number of packages or pieces, or the quantity, or weight, as the case may be, as furnished in writing by the shipper;
> (c) the apparent order and condition of the goods.
> Provided that no carrier, master or agent of the carrier shall be bound to state or show in the bill of lading any marks, number, quantity or weight which he has reasonable ground for suspecting not accurately to represent the goods actually received, or which he has had no reasonable means of checking.

Under Article III(3) the shipper can demand that the carrier issue a bill of lading showing leading marks, the quantity of the goods and the apparent order and condition of the goods. In practice the carrier may not always be able to verify the accuracy of the information given by the shipper, as in most cases the cargo will be covered by packaging or packed in containers. However, as the bill of lading is a receipt issued by the carrier, it is the carrier and not the shipper that will be liable to the consignee for any discrepancies in the bill of lading. The bill of lading is treated as conclusive evidence as between the carrier and consignee and as *prima facie* evidence as between the carrier and the shipper (Article III(4) of the Hague–Visby Rules). Article III(5) requires the carrier to be indemnified by the shipper against any inaccuracies provided in the bill of lading. The carrier is under no duty to issue a bill containing such information unless he is requested to do so by the shipper, and is not required to do so if he has reasonable grounds to believe the information to be inaccurate. In *Ace Imports Pty Ltd v. Companhia de Navegacao Lloyd Brasileiro (The Esmeralda)* [1988] 1 Lloyd's Rep. 206, the plaintiffs purchased a consignment of cutlery, which was shipped onboard the defendant's vessel in a container. The bill of lading that was issued for the container stated that 'this bill of lading shall be prima facie evidence of the receipt by the carrier … of the total amount of … packages … specified on the face hereof'. Upon arrival at

the port of discharge there was a shortfall in the quantity received. The defendants claimed that the goods had been missing prior to shipment. It was held that this was not a clean bill of lading, as the defendants were relying on the information supplied by the plaintiffs about the cargo.

6.2 Seaworthiness

KEY STATUTORY PROVISION

Article III(1) of the Hague-Visby Rules provides:

> The carrier shall be bound before and at the beginning of the voyage to exercise due diligence to:
> (a) make the ship seaworthy;
> (b) properly man, equip and supply the ship;
> (c) make the holds, refrigerating and cool chambers, and all other parts of the ship in which goods are carried, fit and safe for their reception, carriage and preservation.

This rule modifies the common law approach of an absolute duty with regard to seaworthiness. It has been incorporated in s.3 of the Carriage of Goods by Sea Act 1971, which states:

> Absolute warranty of seaworthiness not to be implied in contracts to which the Rules apply. There shall not be implied in any contract for the carriage of goods by sea to which the Rules apply by virtue of this Act any absolute undertaking by the carrier of the goods to provide a seaworthy ship.

Article III(1) sets out three main requirements in its provisions: first, the obligation for the carrier to exercise due diligence to make the ship seaworthy; second, to properly man and equip the ship; and finally, to make sure the hold and other parts of the ship for which goods are carried are fit for the purpose. In *Actis Co. Ltd v. Sanko Steamship Co. Ltd (The Aquacharm)* [1982] 1 WLR 119, the seaworthiness of a vessel was questioned when her draught proved too much for passage through the Panama Canal. Lord Denning stated ([1982] 1 WLR 119, 122–3):

> I think the word 'seaworthy' in the Hague Rules is used in its ordinary meaning, and not in any extended or unnatural meaning. It means that the vessel – with her master and crew – is herself fit to encounter the perils of the voyage and also that she is fit to carry the cargo safely on that voyage … This vessel was so fit. It may be that she had to be lightened to pass through the Panama Canal, but that did not make her unfit … There is no case in which a ship has been held to be unseaworthy merely because she has to lighten in order to get into port. So also, if she has to lighten in order to get through a canal.

6.3 Due Diligence

The Hague–Visby Rules state that the carrier is obliged to exercise due diligence before and at the beginning of the voyage to make the ship seaworthy. In *Maxine Footwear Co. Ltd v. Canadian Government Merchant Marine Ltd* [1959] AC 589, PC, a fire broke out just before the ship was to sail for Jamaica. This was as a result of the crew attempting to unthaw a frozen pipe with an acetylene torch. The master was forced to order the scuttling of the ship, which resulted in the loss of the cargo. The ship-owners sought to rely on the fire exception contained in the Rules (Article IV(2)(b) of the Hague–Visby Rules). Their claim failed as it was held that the ship-owners had breached their obligation as to seaworthiness, as Article III(1) covered the period from the beginning of loading of the goods until the ship had sailed. Under the Hague–Visby Rules, the obligation as to seaworthiness is a personal obligation which renders the carrier liable for anyone whose actions caused the unseaworthiness of the vessel (*Riverstone Meat Co. Pty Ltd v. Lancashire Shipping Co. Ltd (The Muncaster Castle)* [1961] AC 807).

6.4 Goods

KEY STATUTORY PROVISION

Article III(2) states:

> Subject to the provisions of Article IV, the carrier shall properly and carefully load, handle, stow, carry, keep, care for, and discharge the goods carried.

In *Albacora v. Westcott & Laurence Line Ltd* [1966] 2 Lloyd's Rep. 53, HL, a cargo of salted fish deteriorated on the voyage from Glasgow to Genoa. Both the shipper and the carrier knew that the holds of the ship were not refrigerated; however, neither was aware that the cargo would not be able to withstand the journey without refrigeration. In this case it was held that the ship-owners were not in breach of their duty under Article III(2), as the carrier had fulfilled his duties to care for the cargo in light of all the knowledge he possessed at the time.

6.5 Deviation

Article IV(4) provides:

> Any deviation in saving or attempting to save life or property at sea or any reasonable deviation shall not be deemed to be an infringement or breach of these Rules or of the contract of carriage, and the carrier shall not be liable for any loss or damage resulting therefrom.

The Hague–Visby Rules offer a wider range of permissible deviations than the common law, as the deviation can be to save life or property or, alternatively, if the deviation is reasonable

the ship-owner will not be liable. The aim of Article IV(4) is to reduce the use of liberty clauses only to those which are deemed reasonable. In *Stag Line Ltd v. Foscolo, Mango & Co.* [1932] AC 328, Lord Atkin addressed the question of whether what would be considered reasonable had to be in the interests of both the ship and the cargo: deviation may, and often will, be caused by fortuitous circumstances never contemplated by the original parties to the contract and may be reasonable though it is made solely in the interests of the ship or solely in the interest of the cargo or indeed in the direct interest of neither, as for instance where the presence of a passenger or of a member of the ship or crew was urgently required after the voyage had begun, on a matter of national importance; or where some person on board was a fugitive from justice, and there were urgent reasons for his immediate appearance. The true test seems to be what departure from the contract voyage a prudent person controlling the voyage at the time might make and maintain, having in mind all the relevant circumstances existing at the time, including the terms of the contract and the interests of all parties concerned, but without obligation to consider the interests of any one as conclusive ([1932] AC 328, 343–4).

6.6 Excepted Perils

KEY STATUTORY PROVISION

Article IV(2) states:

> Neither the carrier nor the ship shall be responsible for loss or damage arising or resulting from:
> (a) act, neglect, or default of the master, mariner, pilot, or the servants of the carrier in the navigation or in the management of the ship;
> (b) fire, unless caused by the actual fault or privity of the carrier;
> (c) perils, dangers and accidents of the sea or other navigable waters;
> (d) act of God;
> (e) act of war;
> (f) act of public enemies;
> (g) arrest or restraint of princes, rulers or people, or seizure under legal process;
> (h) quarantine restrictions;
> (i) act or omission of the shipper or owner of the goods, his agent or representative;
> (j) strikes or lockouts or stoppage or restraint of labour from whatever cause, whether partial or general;
> (k) riots and civil commotions;
> (l) saving or attempting to save life or property at sea;
> (m) wastage in bulk of weight or any other loss or damage arising from inherent defect, quality or vice of the goods;
> (n) insufficiency of packing;
> (o) insufficiency or inadequacy of marks;
> (p) latent defects not discoverable by due diligence;

> (q) any other cause arising without the actual fault or privity of the carrier, or without the fault or neglect of the agents or servants of the carrier, but the burden of proof shall be on the person claiming the benefit of this exception to show that neither the actual fault or privity of the carrier nor the fault or neglect of the agents or servants of the carrier contributed to the loss or damage.

Article IV(2) provides a 'list' of immunities or exceptions from liability available to the carrier. These exceptions will protect the carrier from liability in the event of a claim by the shipper or consignee. Article IV(2)(a), which deals with the navigation and management of the ship, and Article IV(2)(b), which deals with fire, are the most contentious as they allow for negligence on the part of the carrier and servants. Navigation refers to damage sustained to the cargo as a result of the poor piloting of the vessel. This can cover a number of situations, including collision, as seen in *The Xantho* (1887) 12 App. Cas. 503. As regards the issue of management of the ship, the courts are careful to distinguish between acts which affect the ship and acts which affect the cargo. In *Gosse Millard v. Canadian Government Merchant Marine* [1927] 2 KB 432, a cargo of tinplate was damaged when the vessel put in for repairs. The hatch covers were opened and the tarpaulins which covered the cargo were removed, which resulted in rain-water damaging the cargo. It was held that the damage was caused by the failure to replace the tarpaulins, which was related to the care of the cargo and not the management of the vessel. Article IV(2)(b), which covers the exception of fire, provides that the carrier will not be liable if the fire is caused by the negligence of his servants or agents, but would only be liable if he was personally at fault. However, if as a result of the fire the ship is made unseaworthy, the ship-owner will have to establish due diligence to escape liability (*Maxine Footwear Co. Ltd v. Canadian Government Merchant Marine Ltd* [1959] AC 589, PC).

It is also worth noting the 'catch all' exception in Article IV(q), which the carrier can invoke to cover any situations not covered by the listed exceptions. However, to avail itself of this exception it will need to prove the event was not caused by the fault or negligence of itself or its servants or agents.

7. SHIPPER'S OBLIGATIONS

Article III(5) of the Hague–Visby Rules examines the shipper's duty to provide accurate information about the goods to the carrier. It states:

> The shipper shall be deemed to have guaranteed to the carrier the accuracy at the time of shipment of the marks, number, quantity and weight, as furnished by it, and the shipper shall indemnify the carrier against all loss, damages and expenses arising or resulting from inaccuracies in such particulars. The right of the carrier to such indemnity shall in no way limit his responsibility and liability under the contract of carriage to any person other than the shipper.

One of the main functions of the bill of lading is to evidence the goods shipped on board the vessel; thus it is important that the shipper provides correct information to the master when the goods are loaded on board. Article III(5) specifically deals with information regarding 'marks, number, quantity and weight' of the goods, but it does not cover any information given as to the condition of the goods. In the event that the shipper supplies inaccurate information, the carrier will be entitled to be indemnified for his losses.

Article IV(3) provides:

> The shipper shall not be responsible for loss or damage sustained by the carrier or the ship arising or resulting from any cause without the act, fault or neglect of the shipper, his agents or his servants.

Therefore, the shipper will be protected from liability for any damage caused to the carrier or ship as long as the cause of the damage was not the result of an act or negligence on his part or on the part of his agents or servants.

Article IV(6) examines the shipper's obligation with regard to dangerous goods. It states:

> Goods of an inflammable, explosive or dangerous nature to the shipment whereof the carrier, master or agent of the carrier has not consented with knowledge of their nature and character, may at any time before discharge be landed at any place, or destroyed or rendered innocuous by the carrier without compensation and the shipper of such goods shall be liable for all damages and expenses directly or indirectly arising out of or resulting from such shipment. If any such goods shipped with such knowledge and consent shall become a danger to the ship or cargo, they may in like manner be landed at any place, or destroyed or rendered innocuous by the carrier without liability on the part of the carrier except to general average, if any.

This provision is twofold. First, if the carrier is unaware that the shipper has shipped goods that are of an 'inflammable, explosive or dangerous nature' he may dispose of such goods without incurring any liability to the shipper. Furthermore, the shipper will be liable for any damages or expenses as a result of the dangerous shipment. Second, if the carrier is aware of the nature of the goods and the goods become dangerous to the vessel or other cargo, the carrier can dispose of the dangerous goods without incurring liability, other than for the losses incurred in general average.

The Hague–Visby Rules do not only apply to goods which are physically dangerous. In *The Giannis NK* [1998] AC 605, a cargo of groundnut pellets infested with Khapra beetles had to be disposed of when it became a danger to the other cargoes aboard the vessel. In his judgment, Lord Steyn held that cargo that is not physically dangerous can fall within the meaning of the Rules (in [1998] AC 605, 620):

> it would be wrong to apply the ejusdem generis rule to the words 'goods of an inflammable, explosive or dangerous nature'. These are disparate categories of goods.

> Each word must be given its natural meaning, and 'dangerous' ought not to be restrictively interpreted by reason of the preceding words. Secondly, it would be wrong to detract from the generality and width of the expression 'goods of … [a] dangerous nature' by importing the suggested restriction that the goods must by themselves, or by reason of their inherent properties, pose a danger to the ship or other cargo. For my part I would resist any temptation to substitute for the ordinary and non-technical expression 'goods … of a dangerous nature' any other formulation.

8. LIMITATION OF LIABILITY

Article IV(1) bis states:

> The defences and limits of liability provided for in these Rules shall apply in any action against the carrier in respect of loss or damage to goods covered by a contract of carriage whether the action be founded in contract or in tort. The Hague–Visby Rules provide for a maximum limit on the carrier's liability. This is calculated on the basis of special drawing rights as defined by the International Monetary Fund per package or kilogram of gross weight.

KEY STATUTORY PROVISION

Article IV(5)(a) states:

> Unless the nature and value of such goods have been declared by the shipper before shipment and inserted in the bill of lading, neither the carrier nor the ship shall in any event be or become liable for any loss or damage to or in connection with the goods in an amount exceeding the equivalent of 666.67 units of account per package or unit or units of account per kilo of gross weight of the goods lost or damaged, whichever is the higher.

In the case of goods being shipped in containers, Article IV(5)(c) states:

> Where a container, pallet or similar article of transport is used to consolidate goods, the number of packages or units enumerated in the bill of lading as packed in such article of transport shall be deemed the number of packages or units for the purpose of this paragraph as far as these packages or units are concerned. Except as aforesaid such article of transport shall be considered the package or unit.

Thus, if the shipper fails to enumerate the packages within the container, the container will be treated as one package.

The carrier will not be able to invoke the package limitation if the damage incurred was caused by his act or omission done with the intent to cause damage, or where he was reckless and it was foreseeable that such damage would occur (Article IV(5)(e) of the Hague–Visby Rules).

9. STATUTE OF LIMITATIONS

Article III(6) provides:

> Subject to paragraph 6bis the carrier and the ship shall in any event be discharged from all liability whatsoever in respect of the goods, unless suit is brought within one year of their delivery or of the date when they should have been delivered. This period may, however, be extended if the parties so agree after the cause of action has arisen.

Article III(6) contains a time bar that a claim must be brought within one year from delivery of the goods. If a party fails to bring a suit within one year from delivery of the goods, the claim will be extinguished.

In the event that the goods are never loaded, a claim can still be brought within the one-year time limit, in which case it will be determined on the basis of when the goods should have been delivered. Delivery for the purposes of this provision is when the goods are transferred to the consignee.

✓ **You should now be able to understand the provisions of the Hague–Visby Rules on the rights and obligations of carriers and shippers**

10. TRANSFER AND LOSS OF CONTRACTUAL RIGHTS AGAINST THE CARRIER

The final receiver of the goods may wish to exercise a cargo claim against the carrier. However, since the receiver, consignee or indorsee is not a party to the contract of carriage, he does not at common law acquire rights under it.

The law in England was altered by statute in the nineteenth century by s.1 of the Bills of Lading Act 1855. Under this provision, the receiver, consignee or indorsee became the statutory assignee of the shipper's rights under the contract of carriage, but only where the property in the goods has passed to it. Both the benefit and the burden of the contract was transferred (for instance, payment of freight) when the property in the goods transferred by means of the bill of lading. This statutory provision endured the test of time, but in the latter part of the twentieth century issues arose as a result of the larger size of ships. The rule of English law then operative, that property cannot pass in unascertained goods (s.16 of the Sale of Goods Act 1979, which is now modified by the Sale of Goods (Amendment) Act 1995, inserting ss.20A and 20B into the original 1979 Act), led to the result that property in goods carried in such ships would often only pass when the cargo was measured out to different buyers at destination.

There are two other avenues for redress for the receiver, consignee or indorsee. The first is to sue in tort for loss or damage to the goods, but this has been held to require that the claimant prove that he had a proprietary or a possessory interest in the goods at the time they were lost or damaged, which might not be easy to establish (*Leigh & Sillavan Ltd v. Aliakmon*

Shipping Co Ltd (The Aliakmon) [1986] AC 785 (HL)). The second was to sue on a contract which might be implied where a receiver took delivery of goods in return for payment of outstanding charges as consideration. It might be held that the carrier could be interpreted as agreeing to deliver on bill of lading terms. Such a contract is referred to as a *Brandt v. Liverpool* contract (*Brandt v. Liverpool, Brazil and River Plate Steam Navigation Co* [1924] 1 KB 575). The value of this implied contract was much reduced when the Court of Appeal strictly interpreted it in *The Aramis* [1989] 1 Lloyd's Rep 213. However, it remains a weapon in the armoury, whose invocation may occasionally be necessary.

The Carriage of Goods by Sea Act 1992 repealed the Bills of Lading Act 1855 and provides a more flexible regime for the statutory assignment of the shipper's rights under the contract of carriage. Under s.2 of the Act a person who becomes the lawful holder of a bill of lading, or is a person to whom delivery is to be made under a seaway bill or ship's delivery order, thereby has transferred to and vested in it all rights of suit under the contract of carriage as if he had been a party to that contract of carriage. Therefore, ability to sue depends on being a named consignee or the 'lawful holder' of the bill of lading, regardless of the incidence of property (s.2(1)(a) of the Carriage of Goods by Sea Act 1992). There is a provision to permit the lawful holder to recover loss on behalf of the party really at risk, if that is someone different (s.2(4) of the Carriage of Goods by Sea Act 1992).

Section 2 of the Carriage of Goods by Sea Act 1992 provides an altogether more liberal regime for the statutory assignment of the shipper's rights under the contract of carriage.

You should now be able to discuss the statutory assignment of the rights of the shipper under the Carriage of Goods by Sea Act 1992 and the *Brandt v. Liverpool* contract

11. THE EXTENSION OF LIMITATION OF LIABILITY TO THIRD PARTIES

A Himalaya clause is included in bills of lading to exclude any liability on the part of servants or agents of the carrier (including independent contractors) and provides that all exemptions, immunities and limitations of liability available to the carrier shall also be available to any servant or agent, including an independent contractor. The purpose of the Himalaya clause is to prevent a claimant from undermining the limitations of liability available to the carrier under the contract and the rules by suing the carriers' servants or agents. The problem that has been addressed by the judiciary is whether the privity rule precludes such servants and agents from invoking the provisions of the contract of carriage.

In *Scruttons Ltd v. Midland Silicones Ltd* [1962] AC 446 the House of Lords held that the provisions of a bill of lading purporting to extend to stevedores the same exemptions and limitations of liability as were conferred on the carrier could not be invoked by the stevedores

as they were not parties to the contract of carriage evidenced by the bill of lading. However, Lord Reid did consider that the agency argument had a prospect of success where:

a. It was clear from the bill of lading that the stevedore was intended to be protected.
b. The bill of lading made it clear that the carrier, in addition to contracting on his own behalf, was stipulating limitation of liability on behalf of the stevedore.
c. Such stipulation by the carrier was authorized or perhaps ratified by the stevedore.
d. Difficulties about consideration moving from the stevedore were overcome.

In *The Eurymedon* [1975] AC 154, it was held that stevedores could avail themselves of the limitation given on the ground that in entering into the contract of carriage, the carriers were acting not only on their own behalf but also as agents of the stevedores. The contract between the shipper and the stevedores was a unilateral contract by which in consideration of the stevedores unloading of the goods, the stevedores were to enjoy the limitation of liability laid down in the bill of lading. The act of unloading brought the unilateral contract into existence and provided the consideration for the shipper's agreement that the stevedores should enjoy the benefit of limitation of liability. The decision was followed in *The New York Star* [1980] 3 All ER 257 and *The Starsin* [2003] UKHL 12, [2004] 1 AC 715.

The Hague–Visby Rules address this problem by providing that a servant or agent of the carrier can avail the same defences and limitations of liability in contract and tort applicable to the carrier. However, independent contractors are not covered by this provision. Where the servant or agent intended to cause damage or was reckless and had knowledge that damage would probably result, the provision will also not apply.

The need to rely on the common law requirements for the application of a Himalaya clause is now reduced by the Contracts (Rights of Third Parties) Act 1999, which is generally not applicable to contracts for the carriage of goods by sea (s.6(5) of the Contracts (Rights of Third Parties) Act 1999). However, the 1999 Act does permit a third party for whose benefit a contract is concluded to avail itself of a limitation of liability in such a contract.

✓ **You should now be able to explain the common law requirements for the application of a Himalaya clause and its statutory alternatives**